

24TRCV01931 24TRCV01931

County: los-angeles

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Case Number: 24TRCV01931 Hearing Date: September 21, 2026 Dept: 5

Superior Court of California

County of Los Angeles – SOUTHWEST District

Department

5

FENCHEM, INC.

;

Plaintiff,

vs.

BLUE HORIZON LOGISTICS,
INCORPORATED

;

Defendant.

Case

No.:

24TRCV01931

Hearing

Date:

September
21, 2026

Time:

8:30 a.m.

[tentative]

Order RE:

(1)

DEFENDANT AND PROSPECTIVE CROSS-COMPLAINANT
BLUE HORIZON LOGISTICS, INC.'S MOTION TO FILE CROSS-COMPLAINT

MOVING PARTY: Defendant, Blue Horizon
Logistics, Inc.

RESPONDING PARTY: Plaintiff, Fenchem, Inc.

(1) Defendant and Prospective Cross-Complainant
Blue Horizon Logistics, Inc.'s Motion to File Cross-Complaint is GRANTED
pursuant to Code of Civil Procedure section 428.50.

The Court considers the moving
papers filed on July 21, 2026, the opposition brief filed on August 27, 2026,
and the reply brief filed on September 1, 2026.

BACKGROUND

Factual Background

On June 6, 2024, plaintiff
Fenchem, Inc. ("Plaintiff") filed the Complaint against defendants Blue Horizon
Logistics, Incorporated ("Defendant") and DOES 1 through 25.

On April 9, 2025, the
clerk of the Court entered default against Defendant. However, on August 25, 2025, Defendant filed
its Answer.

On April 25, 2025,
Plaintiff filed the First Amended Complaint ("FAC") against Defendant and DOES
1 through 25. The FAC includes the following causes of action: (1) Breach of Bailment;
(2) Breach of Contracts; (3) Negligence; and (4) Conversion.

LEGAL STANDARD

A cross-complaint is
compulsory if it is transactionally related to the subject matter of the
complaint. (Code Civ. Proc., § 426.10.) "To be considered a compulsory
cross-complaint, a related cause of action must have existed at the time of the
service of [the] answer to [the] complaint."
(Crocker Nat. Bank v. Emerald (1990) 221 Cal.App.3d 852, 864 (Crocker).) The late filing of a motion for leave to file
a compulsory cross-complaint, "absent some evidence of bad faith is
insufficient evidence to support denial of the motion." (Silver Organizations Ltd. v. Frank
(1990) 217 Cal.App.3d 94, 101.)
"Permission to file a permissive cross-complaint is solely within the
trial court's discretion." (Crocker,
supra, 221 Cal.App.3d at p. 864.)

"A party who fails to plead a
cause of action subject to the requirements of this article, whether through
oversight, inadvertence, mistake, neglect, or other cause, may apply to the
court for leave to amend his pleading, or to file a cross-complaint, to assert
such cause at any time during the course of the action. The court, after notice to the adverse party,
shall grant, upon such terms as may be just to the parties, leave to amend the
pleading, or to file the cross-complaint, to assert such cause if the party who
failed to plead the cause acted in good faith. This subdivision shall be liberally construed
to avoid forfeiture of causes of action."
(Code Civ. Proc., § 426.50.) The
"article" mentioned pertains to "Compulsory Cross-Complaints," so this section
is specifically applicable to compulsory cross-complaints.

Code of Civil Procedure
section 428.10 provides, as follows: "A party against whom a cause of action
has been asserted in a complaint or cross-complaint may file a cross-complaint
setting forth either or both of the following: (a) Any cause of action he has
against any of the parties who filed the complaint or cross-complaint against
him. ... ¶ (b) Any

cause of action he has against a person alleged to be liable thereon, whether or not such person is already a party to the action, if the cause of action asserted in his cross-complaint (1) arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause brought against him or (2) asserts a claim, right, or interest in the property or controversy which is the subject of the cause brought against him.”

Code of Civil Procedure

section 428.50 provides, as follows: “(a) A party shall file a cross-complaint against any of the parties who filed the complaint or cross-complaint against him or her before or at the same time as the answer to the complaint or cross-complaint. (b) Any other cross-complaint may be filed at any time before the court has set a date for trial. (c) A party shall obtain leave of court to file any cross-complaint except one filed within the time specified in subdivision (a) or (b). Leave may be granted in the interest of justice at any time during the course of the action.”

DISCUSSION

Defendant moves to file its proposed cross-complaint pursuant to Code of Civil Procedure sections 426.50 and 428.50.

(Motion, p. 3:15-16.) The proposed cross-complaint presents two causes of action: (1) Breach of Contract and (2) Open Book Account. Defendant asserts that “[t]he attached proposed Cross-Complaint alleges a breach of contract and common counts seeking warehousing charges [totaling] \$38,870 dating back to January 2022 and continuing to date because the property has remained in the Blue Horizon warehouse. An additional estimated \$10,000 for the removal of the property is also sought.” (Motion, p. 4:6-9.)

Defendant does not clarify whether its proposed cross-complaint is permissive or compulsory. However, it quotes a non-published trial case that only discusses permissive cross-complaints. (Motion, pp. 3:17-4:5.) Thus, the Court will treat Defendant's proposed cross-complaint as permissive. Because the proposed cross-complaint is deemed permissive, Code of Civil Procedure section 426.50 is inapplicable, as it pertains solely to compulsory cross-complaints. Consequently, the Court will grant leave to file the proposed cross-complaint only if it serves the interests of justice, in accordance with Code of Civil Procedure section 428.50, subdivision (c). The Court determines that the interests of justice support the filing of the proposed cross-complaint.

Defendant contends, "At the time of the filing of its Answer to the Complaint, Blue Horizon was under the impression that its unpaid charges would operate as a set-off to the Complaint's assertion of damages. See California Code of Civil Procedure §431.70. That impression has since been changed. Blue Horizon now believes that its warehousing charges must be protected and its opportunity for an affirmative recovery should be preserved." (Motion, p. 3:10-14.) Furthermore, Defendant asserts that it sought a resolution of the alleged unpaid charges and a mutual release during settlement discussions; however, following the unsuccessful mediation held on July 10, it now intends to pursue damages for these alleged unpaid charges through the cross-complaint. (Motion, p. 3:8-9; Reply, p. 2:14-16.) The Court finds that denying Defendant the opportunity to present these claims would not serve the interests of justice, particularly given that Plaintiff has not established any prejudice to its claims.

Plaintiff argues that: (1) "[t]he proposed Cross-Complaint is vague and ambiguous as to the time that Plaintiff allegedly refused to remove the materials from Defendant's warehouse[.]" rendering Defendant's cross-complaint meritless; and (2) the proposed cross-complaint is being filed to gain an advantage in settlement negotiations, indicating bad faith. (Opp., pp. 2:20-3:2.) The Court finds the first argument irrelevant and disagrees with the second.

Regarding the first assertion, whether a claim possesses merit is not pertinent to these proceedings, as such matters are more suitably addressed through a demurrer. Concerning the second assertion, the Court observes that Plaintiff has provided no supporting evidence for the claim that the intent of the proposed cross-complaint is to ensure that Defendant gains an advantage in settlement negotiations. The filing, by itself, does not imply that it was employed as a litigation tactic to enhance Defendant's position. Rather, following the unsuccessful mediation efforts, Defendant opted to pursue its claim through an alternative avenue.

Accordingly, the Court GRANTS Defendant's motion to file the proposed cross-complaint.

ORDERS

1) Defendant

and Prospective Cross-Complainant Blue Horizon Logistics, Inc.'s Motion to File Cross-Complaint is GRANTED.

2) Defendant

is ordered to provide notice of this Court's ruling.

IT IS SO ORDERED.

DATED: September 21, 2026

Tamara
Hall

Judge
of the Superior Court